

25VECV06813 25VECV06813

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Case Number: 25VECV06813 Hearing Date: August 6, 2026 Dept: I

25VECV06813 STANLEY WETCH, et al. vs CELTIC

CAPITAL CORPORATION, A CALIFORNIA STOCK CORPORATION

August 7, 2026, at 8:30 a.m.

Van Nuys Courthouse East, Dept. I

Tentative Ruling – Motion to Compel Further

Discovery

I.

Background

On December 1, 2025, Plaintiffs

Stanley Wetch (“Wetch”) and La Flor de Mexico, Inc. (“La Flor”)(collectively

“Plaintiffs”) filed a complaint against Celtic Capital Corporation

(“Defendant”) and Does 1 to 250 alleging eight causes of action: (1)

conversion; (2) breach of contract; (3) accounting; (4) declaratory relief; (5)

breach of fiduciary duty; (6) breach of statutory duty; (7) violations of

unfair competition law; and (8) injunctive relief.

On January 7, 2026, Defendant filed a

cross-complaint against Plaintiffs, the United States Small Business

Administration, and Does 1 to 250 alleging two causes of action: (1)

interpleader; and (2) breach of guaranty.

On June 26, 2026, Plaintiffs filed the

instant motion to compel Defendant’s further responses to Requests for

Production of Documents, Set One.

On July 20, 2026, Defendant filed its opposition.

On July 22, 2026, Plaintiffs filed their reply.

II. Motion to Compel Further Discovery

“If a party filing a response to a demand for inspection, copying, testing, or sampling under Sections 2031.210, 2031.220, 2031.220, 2031.230, 2031.240, and 2031.280 thereafter fails to permit the inspection, copying, testing, or sampling in accordance with that party’s statement of compliance, the demanding party may move for an order compelling compliance.” (Cal. Code of Civ. Proc. § 2031.320(a).)

“. . . [T]he court shall impose a monetary sanction . . . against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel compliance with a demand, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (CCP § 2031.320(b).)

Evidentiary Objections

As a preliminary matter, the Court overrules Defendant’s August 5, 2026, evidentiary objections to allegedly new evidence submitted with Plaintiffs’ reply, specifically, various meet and confer letters dated prior to Plaintiffs’ initial motion. (See August 5, 2026, Evidentiary Objections.) Plaintiffs referenced these letters in their initial moving papers. (See Garcia July 26, 2026, Decl.) Additionally, the Garcia declaration directly addresses points raised by Defendant’s opposition. (Ibid.)

Analysis

Pursuant to CCP § 2016.040, on April 20, 2026, Plaintiffs’ counsel sent defense counsel a meet and confer letter

regarding the alleged deficiencies in Defendant's discovery responses. (Garcia Decl. at ¶¶ 5-6.) Plaintiffs provided various extensions for amended responses. (Id. At ¶ 7.) Following several months, Defendant failed to provide supplemental responses. (Ibid.) Accordingly, Plaintiffs satisfy the meet and confer requirement of CCP § 2016.040."

Plaintiffs bring this motion to compel

Defendant's further responses to Requests for Production of Documents, Set One, Nos. 1-8 and 10-14. (See Separate Statement.) These requests pertain to, inter alia, documents reflecting negotiations between Defendants and Plaintiffs concerning the Discretionary Clause at issue in the parties' contract, communications between Defendant and "any borrower in the State of California" concerning the Discretionary Clause, all documents reflecting all income received following Defendant's foreclosure on La Flor, all documents reflecting all expenses paid from the. Proceeds of Defendant's foreclosure on La Flor, all documents reflecting accountings Defendant has provided to La Flor following Defendant's foreclosure, "[a]ll account records, including registers, logs, income received, expenses incurred, payments made following [Defendant]'s foreclosure on La Flor under the Agreement," "[a]ll DOCUMENTS or COMMUNICATIONS from any person or entity making demand for payment from the time YOU initiated foreclosure under the Agreement, to the date YOU respond to this request," "[a]ll DOCUMENTS reflecting any demand for payment from the Small Business Administration related to YOUR foreclosure under the Agreement," "[f]or the period between January 1, 2022, and December 1, 2025, copies of all Loan and Security Agreements entered into between YOU and any borrower in the State of California and wherein the Agreements contained the Discretionary Clause," and more. (See Separate Statement.)

Plaintiffs' motion is denied as to

Request No. 1 as Plaintiffs is also in possession of documents that "reflect negotiations" between themselves and Defendant. (See Separate Statement.)

Plaintiffs' motion is denied as to

Request Nos. 2-3 and 12-13 since the requests are vague and overbroad and loan information of other non-parties is unlikely to lead to the discovery of admissible evidence that is not protected by privacy rights. (See *Grisworld v. State of Connecticut* (1965) 381 U.S. 479, 484 [disclosure of private financial information of non-parties may be shielded from discovery; right of privacy guaranteed by the U.S. Constitution].)

Plaintiffs' motion is denied as to

Requests Nos. 4-5 and 7 as "all income," "all expenses," and "[a]ll accounting" following Defendant's foreclosure on La Flor is impermissibly overbroad and vague. (See Separate Statement.)

Plaintiffs' motion is denied as to

Request No. 6 since Plaintiffs should also have, in their possession, "accountings [Defendant] provided to La Flor . . ." (See Separate Statement.)

Plaintiffs' motion is denied as to

Request No. 8 since "[a]ll DOCUMENTS or COMMUNICATIONS from any person or entity making demand for payment" is impermissibly overbroad and vague. (See Separate Statement.)

Plaintiffs' motion is granted as to

Request No. 10 since documents reflecting any demand(s) for payment from the Small Business Administration are directly relevant to Defendant's cross-complaint against the Small Business Administration. (See Separate Statement.)

Plaintiffs' motion is denied as to

Request No. 11 since "any written demand for wage payments" is impermissibly overbroad and vague. (See Separate Statement.)

Plaintiffs' motion is granted as to

Requests No. 14. Documents reflecting any subordinate security interests to the surplus proceeds are directly relevant to both Plaintiffs' claims and Defendant's cross-complaint. (See Separate Statement.)

Sanctions

As a final matter, Defendant's request

for sanctions on the grounds that Plaintiffs' motion was premature for failure to engage in meet and confer is denied since the Court finds that Plaintiffs sufficiently met and conferred regarding the allegedly deficient responses. (See Opposition at 11:8-12.)

III. Conclusion

Based on the
foregoing, Plaintiffs' motion is GRANTED in part and DENIED in part.

Plaintiffs'
motion is denied as to Requests Nos. 1-8 and 11-13.

Plaintiffs'
motion is granted as to Requests Nos. 10 and 14.

Defendant is to
serve supplemental, verified, objection-free responses to Plaintiffs' Requests
for Production of Documents Nos. 10 and 14 within 20 days of this order.

Moving party to give notice.